

*The Emergence
of Latin America
in the Nineteenth Century*

DAVID BUSHNELL
University of Florida

NEILL MACAULAY
University of Florida

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The Liberal Legacy and the Quest for Development

By the 1880s, the liberal order seemed more or less established in Latin America, and its creators had good reason—from their own perspective, anyway—to be satisfied with their handiwork. The closing years of the nineteenth century and the beginning of the twentieth were a period of marked quantitative growth for the Latin American economies and a relative consolidation of political order. Economic expansion was nowhere else as spectacular as in Argentina, but figures on production and trade, kilometers of railroads built, and other measurements of infrastructural development were almost everywhere rising more rapidly than before. As for the political settling down that accompanied economic advances, one scholar has calculated that the occurrence of coups in Latin America declined from an annual rate of three per year in the third quarter of the nineteenth century to a mere two by the first decade of the twentieth.¹ Obviously, the economic growth that increased the range of personal opportunities for members of the Latin American upper classes at the same time as it increased the resources at the disposal of Latin American governments was an aid to the cause of stability. Greater political stability, in turn, lessened the costs and uncertainties of doing business, so that the phenomena were mutually reinforcing.

The dominant ideology of Latin America—to the extent that there was one—continued to be liberal, although liberalism tended to become less doctrinaire and more pragmatic, with a distinct positivist tinge. With minor exceptions, the political constitutions were the same as those put in place during the immediately preceding period, or recognizably similar. Written constitutions were not always observed to the letter, which was not in itself anything new. But there was perhaps a greater willingness to recognize and to justify a degree of concentration of authority in the national executive that went substantially beyond what the legal texts called for. Rather common was the emergence of rulers who claimed to be liberal but governed in fact as military or civilian dictators and whose propagandists defended autocratic procedures as a necessary means to enter the promised land of “Order and Progress.” Antonio Guzmán Blanco of Venezuela, Justo Rufino Barrios of Guatemala, and Porfirio Díaz of Mexico were three who helped establish the pattern, but other examples are not hard to find. The first two administrations under the Brazilian republic (established in 1889) more or less fit the pattern, and the regime of Julio A. Roca of Argentina (first elected president in 1880) and his successors, while no dictatorship in a strict sense, was notoriously arbitrary in its use of electoral fraud and in its misuse of the constitutional article permitting the president to “intervene” in the various provinces. Argentina was, at the same time, the one country where a correlation between order and progress was most obvious.

Progress and Development

Progress, in its economic dimension, was seen essentially in terms of net growth of total production (especially export commodities) and material infrastructure. Moreover, the growth that did occur took place within the institutional framework that Latin American liberals had erected in place of the vestiges of Hispanic colonial corporatism that had been cleared away in 1820–80. Gone were entailed estates, most communal landholdings, fiefdoms, and all manner of legalized individual or group privileges. Slavery finally disappeared with the completion of abolition in Cuba and Brazil, in 1886 and 1888 respectively. The new order

specified that advantages were to be gained through wealth, no longer by birth alone or membership in some functional group. Thus, while doctrinaire anticlericalism entered into decline, the institutional church—except, notably, in Colombia—never truly recouped the losses it had suffered. By the turn of the century, outright harassment of the church was usually at an end, but the privileged status it had enjoyed from the early colonial era until, say, the mid-nineteenth century was no more. In reality, the Latin American countries were beginning to approximate a regime of genuine church-state separation, which both represented a reaction against the excesses committed in earlier church-state conflict and reflected the feeling of a new generation of leaders that there were more important things to do than quarrel with the clergy.

More important was to create the conditions that would attract foreign investment and immigrants—the capital and labor that, in the view of most nineteenth-century liberals, were essential for the progress of Latin America. The governments that came to power after 1850 managed to remove much of the uncertainty of living and doing business in Latin America. Enterprise remained risky, but, after all, calculating and discounting risk were part of the investor's job. The enactment and more or less consistent application of civil legal codes in most Latin American countries in the third quarter of the nineteenth century made the assessment of risk easier and the enforcement of contractual obligations more certain—a matter of interest to prospective investors and immigrants alike. Of course, political uncertainties remained, and "revolutions" continued to occur, but with decreasing frequency and with scant economic consequences. In Mexico, Maximilian did not invalidate sales of church property under the Lerdo Law, and Juárez, though he repudiated most of the imperial government's debt, did not expropriate the bank or the railroad company chartered by Maximilian. While arbitrary or extortionate acts by government bureaucrats and judges or by insurgents could never be completely ruled out, private capital, both foreign and native, felt increasingly secure. Enterprise was encouraged, and economic growth fed on itself in the late nineteenth century. Greater exports made possible more imports, which brought more tariff revenue into the national treasuries.

Governments could afford to subsidize the construction of railroads, which hauled more outward-bound produce to ports or frontiers and distributed more imported goods inland.

Progress was evident, but "progress" as many scholars have pointed out, is not the same thing as "development." The essential characteristics of socioeconomic development, the professed goal of most Third World countries today, are (1) a highly monetarized economy (i.e., one with little subsistence farming or barter exchange), (2) a high per capita national income, measured in money, and (3) widespread distribution of education and health benefits (through market allocation, government command, or a combination of the two) to the general population. Wealthy nations—those with measurably high productivity—have these characteristics. In the nineteenth century, a high literacy rate was perhaps the most reliable indicator of development in education, while a low mortality rate would reflect favorable health conditions. By these measurements, no Latin American country in 1880 was as developed as the United States or any of several nations of northwestern Europe, although Argentina was on its way and in the first part of the twentieth century would take its place, for a time, among the ten wealthiest nations on earth. Other Latin American nations, while not attaining Argentina's results, at least made significant gains.

Since wealth does not occur spontaneously in nature, its presence, rather than its absence, requires explanation. The normal state of nature is poverty, or the lack of development. That some nations of the world achieved high levels of development in the nineteenth century is remarkable; that many others did not is not surprising. On average, the Latin American nations probably created more wealth than did their independent counterparts in Africa and Asia—such as Ethiopia and Siam—and also more than most colonies or imperial dependencies in eastern Europe and around the world. The eagerness of large numbers of people from other regions to migrate to Latin America in the late nineteenth century indicates a widespread perception, at least, that conditions of employment, health, and education were, on balance, better in Argentina, southern Brazil, Uruguay, Chile, and Cuba than in the lands whence the immigrants came.

The Export Economy

Exports were the key to development in the late nineteenth century, and in 1880 only Argentina, Uruguay, and Cuba in Latin America matched or exceeded the seventeen-dollar per capita exports of the United States that year (see Appendix 2). Shipments from North America, like those from Latin America, were then mainly food and raw materials, as manufactured goods were just beginning to figure significantly among U.S. exports. The foundations of U.S. industrialization, however, had been laid before 1820, before Latin America achieved its independence and the terms of trade turned in favor of producers of commodities. In the 1820s, world prices of manufactured goods began falling faster than the prices of raw materials; a trend that would continue for about a century. Countries with natural resources favorable for the production of commodities had little economic incentive to industrialize after 1820; it was usually cheaper to buy finished products with money they earned from raw material exports than to manufacture goods themselves. This applied not only to most Latin American nations but to some countries in northwestern Europe as well, such as Denmark.

A small country, much closer in population to the Latin American norm than was the mammoth United States, Denmark in the nineteenth century experienced political turmoil, multiple constitutions, secessionist movements, foreign wars, invasion, and dismemberment. Through it all, the Danish economy, based on agricultural exports, maintained its long-term growth. Long dependent on grain exports, Denmark lost most of its foreign wheat markets to the United States and Russia in the 1870s. Danish farmers responded by shifting from wheat growing to the production of butter and bacon for export. This advantageous switch was made in a highly monetarized, export-oriented economy, in a country with an ample financial infrastructure, small and flexible production units, and an educated population able to receive and respond efficiently to market information. Denmark, like Argentina, had achieved a high level of socioeconomic development by the beginning of the twentieth century without industrialization. Appreciable investments in manufacturing were made in both Denmark and Argentina after World War I,

as the terms of trade for producers of commodities began to deteriorate. From the start, Danish manufacturers produced for export as well as for their domestic market, while Argentine industrial production was solely for national consumption. Thereafter, Denmark maintained its position as one of the world's wealthiest nations, while Argentina began its descent toward Third World status.

A striking example of industrialization in the late nineteenth century is that of Japan. The Japanese experience has no counterpart in Latin America or anywhere else. Japan's circumstances in 1868, at the onset of industrialization, were unique: a "feudal" tribute system imposed on a society and economy characterized by highly productive agriculture, a high degree of urbanization, little international trade, but a large and vigorous domestic market served by a well-developed financial infrastructure—including a grain futures exchange, an institution that did not appear in the Western world until a century after its 1759 debut in Japan. The monetary tribute that had supported a parasitic feudal class went, after 1868, to finance industrialization. Without valuable mineral resources or the land to expand agriculture, commodity exportation was not a Japanese option. Industrialization was, and it had the attraction of military utility. An industrialized Japan would be able to make the armaments it needed to defend itself against the white foreigners who violated its sovereignty and denigrated its culture in the second half of the nineteenth century.

No such racial-military threat preoccupied the ruling classes of late-nineteenth-century Latin America, who were little disposed to transfer assets from lucrative raw material production to less profitable manufacturing for reasons of national defense. They were prepared at times to subsidize manufacturing for reasons of social peace or internal political stability—for example, by giving the cotton planters of Brazil or Guatemala a market for their produce when it was priced out of world markets. Government subsidies like protective tariffs could also be justified on economic grounds—by all but dogmatic free traders—as temporary expedients to sustain infant industries during the learning process. Japan's infant industries, because of the "unequal treaties" imposed by foreign powers, could not receive effective tariff

protection and went immediately into export production. Latin American industries remained in extended infancy in a protected home environment.

Dimensions of Dependence

Of today's Latin American republics, the most "dependent" in the nineteenth century was Cuba, which was a formal colony of Spain until 1898. Between 1820 and 1860, Cuba experienced more economic progress than any other Latin American country. Its exports per capita exceeded those of the United States in some years, and the island came to be considered the world's richest colony. In transportation infrastructure, the application of advanced technology, productivity, and general socioeconomic development, Cuba was comparable to the southern United States in 1860. The two areas, of course, shared the peculiar institution of black slavery, which limited the social, if not economic, growth of each. Slaves aside, Cubans were wealthy by Latin American standards throughout the nineteenth century, though not so rich as the Argentines at the century's end. A causal relationship between political dependence and socioeconomic underdevelopment is not evident from Cuba's experience.

More important than political dependence in questions of development and underdevelopment, according to some theorists, is economic concentration on the production of a limited number of export commodities, such as sugar (principally) and coffee and tobacco in Cuba and meat, wool, and grain in Argentina. Such commodity specialization is said to make the producing nation a "dependency" of consuming nations; industrial nations, on the other hand, are never (or almost never) at the mercy of their foreign customers or suppliers. However valid these concepts might be for the twentieth century—and there are doubts, among them both capitalists and socialists, to say nothing of oil sheiks—they are hardly relevant for most of the nineteenth century, when the terms of trade favored producers of primary materials.

The perceived "dependency" is a symptom of external demand, and it is demand, whether external or internal, that drives economies—even those tilted to the "supply side," where new or

cheaper products are supposed to generate new demand. The subsistence farms, individually or communally owned, that predominated in much of Latin America at the beginning of the nineteenth century created little demand and could contribute only minimally to economic growth or socioeconomic development. Dependent on their own limited resources, the rural communities were self-sufficient in the best of times, but at all times they led a precarious existence, continually threatened by the vagaries of nature. When external demand arose for goods or services that they could provide, there were usually some members of the community willing to respond to the demand. Transition to an economy of markets and money expanded the options of peasant producers and could just as well enhance as diminish their security. At the same time, the appearance of new goods stimulated desires to possess them and created a new form of dependence that induced some individuals to abandon their villages altogether and seek remunerative employment elsewhere. The breakdown of traditional communities and the emergence of consumer-oriented societies, deplored by some modern scholars, were better understood in the nineteenth century. Karl Marx, for one, held no brief for "the idiocy of rural life."²

While the penetration of the world economy in some areas of Latin America increased individual opportunities and diminished personal dependence, in others it bolstered, at least temporarily, coercive labor systems. The expansion of sugar production in Cuba and coffee production in Brazil was accompanied by increased importation of slaves from Africa in the first half of the nineteenth century. In the second half of the century, with slavery in decline, Cuban and Brazilian producers began bidding seriously for free workers on the world labor market. Neither slaves nor free immigrants were available to cultivate coffee in Guatemala in the 1870s; when wage offers and inducement goods proved insufficient to lure indigenous workers onto the coffee plantations, the Guatemalan government resorted to forced-labor drafts.

Abuses of Latin America's indigenous populations were less characteristic of export operations than of large-scale production for the national markets that grew with the export economy. Widespread theft of Indian lands in Mexico occurred after 1880

as railroads linked remote areas with big-city markets and as haciendas expanded to supply Mexican factories and urban consumers with grain, sugar, pulque, and cotton. Landowners in Mexico and elsewhere also resorted to debt peonage to secure labor, though scholars disagree about the extent to which this form of bondage actually was practiced. It is known, however, that Mexican peasants seeking job security sometimes purposely borrowed excessively from hacendados, so that the lender would be compelled to continue the borrower's employment in order to collect the debt. The "dependency" relationship here is not unlike that between international bankers and some Latin American governments today.

As the world economy offered Latin Americans new options in the nineteenth century, it limited some others—like that of earning a decent living in traditional handicrafts, such as spinning and weaving. Artisans, as in Colombia in the 1850s, were sometimes militant in demanding the right to receive more for their products than these would fetch in market competition with machine-made equivalents, but in the end governments in Colombia and elsewhere chose not to artificially extend the life of costly preindustrial forms of production. Consumers, and liberal ideology, triumphed over special interest in this struggle but lost in many others. Sugar planters and refiners in Argentina and Mexico received tariff protection to tide them over while they modernized and expanded their mills and private rail lines, and textile manufacturers in several countries, as has been noted, were granted infant-industry protection—in theory. In fact, protection of these nineteenth-century industries was extended indefinitely, and the process was repeated as new manufacturing operations were established in the twentieth century. Until well into the second half of this century, Latin America pursued a program of national subsistence industrialization—or "import substitution," as its proponents preferred to call it. Latin American industrial growth was limited by dependence on national markets, which were poor.

The Liberal Order: Demise and Rebirth

In the twentieth century, Latin America tended to drift away from the liberal model embraced by leaders of the previous

period. State intervention in the economy came to be extensively practiced well before the world depression of the 1930s that seemed to finish off laissez-faire. It was practiced by regimes of widely varying political persuasion: by revolutionary Mexico, which led the retreat from absolute private property rights, and by the agro-exporting Brazilian oligarchy, which created the world's first commodity-producer cartel for its coffee in 1906 and subsidized faltering coffee exports with dual exchange rates. Politically, moreover, critics of both left and right began to question the liberal tenets to which nineteenth-century leaders had generally given at least lip service, regardless of how faithfully they practiced them. The social problems and tensions that were an inevitable by-product of economic growth helped convince the critics that authoritarian solutions were called for. Neither did the fact that Germany, Japan, and Russia—or, more recently, South Korea—industrialized under an authoritarian regime go unnoticed in Latin America, where such strongmen as Getúlio Vargas of Brazil and Juan Perón of Argentina correctly perceived that industrialization was the key to contemporary socioeconomic development and wielded the power of the state (Vargas rather more effectively than Perón) on its behalf.

A reason for intensified interest in industrialization, and a serious complication in its own right, was the fact that after the 1920s the terms of trade moved generally against the producers of commodities and in favor of their processors—and those who created value out of nothing. By the 1980s, a handful of worthless sand, when spun into optical fiber, could do the work of countless kilometers of copper wire made from tons of ore extracted from the mountains of Chile. As world populations leveled off or declined, except in areas too poor to exert much effective demand, prices of foodstuffs fell in relation to those of manufactured goods. Wealthy nations with market economies and high liquidity generally were able to shift assets from agriculture and mining to manufacturing and services as required. Consequently, most of the world's rich countries in 1900 also made the affluent list in 1980. Argentina was a notable dropout, and there were a few newcomers—but none from Latin America.

By 1980, in any case, the authoritarian model for development was also tarnished by disappointing performances in nations as

far apart politically and geographically as Cuba and Argentina. And with the world's wealthiest nations all adhering to liberal democracy as a system, many Latin Americans came to think that it was not necessary, or even possible, to sacrifice freedom for development. It was becoming clearer that sustained economic growth was dependent on the free flow of information and that this was ultimately incompatible with authoritarian government. To be sure, in Latin America liberal political regimes had never disappeared entirely, and in the twentieth century, through suffrage extension and the creation of mass media and mass political parties, they developed a wider base of participation—in effect, became more democratic. Such regimes have not been limited to the well-known cases of Venezuela, Costa Rica, and Colombia, although in recent years they have been the most consistent practitioners. The much-heralded resurgence of Latin American democracy that has so far marked the 1980s is thus no more a historical aberration than the “bureaucratic authoritarianism” practiced by military dictatorships of the 1970s. It has roots in both the recent and the not-so-recent past—certainly going back to the experiments of liberal nation building in the nineteenth century.

Notes

Chapter 1

1. Arturo Ardao, *Génesis de la idea y el nombre de América Latina* (Caracas, 1980), p. 83 et passim.
2. John Lynch, *The Spanish-American Revolutions, 1808–1826* (New York, 1973), p. 7.

Chapter 2

1. Arturo Uslar Pietri, “Discurso de ingreso a la Academia Nacional de Historia de Venezuela,” *Boletín de Historia y Antigüedades* (Bogotá) 48, nos. 557–558 (March–April 1961): 219–36.
2. Miguel Angel Asturias, *Bolívar: poema* (San Salvador, 1955).
3. The exceptions to the pattern mentioned were New Galicia in western Mexico and Cuzco in Peru, both of which had had their own audiencias but did not become separate countries, and Paraguay and Uruguay, which lacked audiencias but did separate. The present republics of Central America are cases comparable to the last two, but on first separating from Mexico Central America still conformed to the rule.
4. Simón Bolívar, *Selected Writings of Bolívar*, 2 vols., comp. by Vicente Lecuna and ed. by Harold A. Bierck, Jr. (New York, 1951), Vol. II, p. 738.
5. *Ibid.*, Vol. II, p. 732.
6. Tulio Halperín-Donghi, *The Aftermath of Revolution in Latin America* (New York, 1973), p. 116.
7. Moisés González Navarro, *El pensamiento político de Lucas Alamán* (Mexico City, 1952), p. 63. Italics added.

APPENDIX 1

Latin American Population, 1820 and 1880

Country	1820 population	1880 population
Argentina	610,000	2,484,000
Bolivia	1,000,000	1,506,000
Brazil	4,494,000	11,748,000
Chile	890,000	2,066,000
Colombia	1,025,000	2,870,000
Costa Rica	63,000	170,000
Cuba	615,000	1,542,000
Dominican Republic	120,000	240,000
Ecuador	530,000	1,106,000
El Salvador	248,000	583,000
Guatemala	595,000	1,225,000
Haiti	647,000	1,238,000
Honduras	135,000	303,000
Mexico	6,204,000	10,488,000
Nicaragua	186,000	400,000
Paraguay	210,000	318,000
Peru	1,210,000	2,710,000
Uruguay	69,000	229,000
Venezuela	760,000	2,080,000
TOTALS	19,611,000	43,306,000

APPENDIX 2

Exports per Capita of Selected Latin American Countries, ca. 1830, 1855, 1880

Country	Year	Population	Exports ^a	Per capita exports ^a
Argentina	1829	745,000	\$ 5,200,000	\$ 6.98
	1855	1,106,600	15,240,986	13.77
	1880	2,484,000	78,720,000	31.69
Brazil	1830	5,343,000	16,032,000	3.00
	1855	7,050,000	50,993,827	7.23
	1880	11,748,000	100,180,800	8.53
Colombia	1836	1,733,000	3,261,600 ^b	1.88
	1855	2,417,819	7,929,350	3.28
	1880	2,870,000	13,689,100 ^c	4.77
Cuba	1830	764,000	14,200,000 ^d	18.59
	1855	1,381,000	30,500,000 ^e	23.81
	1884	1,593,000	73,130,000	45.91
Mexico	1830	6,365,000	13,022,000 ^f	2.05
	1851	7,672,000	9,608,000 ^f	1.25
	1873	9,172,000	31,691,000 ^f	3.46
Peru	1831	1,363,000	4,973,550	3.65
	1855	2,266,697	16,880,303	7.45
	1878	2,680,000	25,208,435	9.41
Venezuela	1831	909,000	2,286,000	2.51
	1855	1,351,386	5,495,270	4.07
	1880	2,080,000	13,279,423	6.38

^aIn 1880 U.S. dollars.

^b1834-38 average, includes gold.

^c1878-80 average, includes gold.

^d1826-30 average.

^e1851-55 average.

^fIncludes gold and silver.